

⇒ sole proprietorship

- one person.
- unlimited liabilities.
- owner is the manager.
- limited life.
- one capital account.

⇒ Corporation

- large number of owners stock holders shareholders.
- limited life.
- board of directors.
- unlimited life.
- capital account → divided into shares.

⇒ Partnership

- two or more persons.
- Types of partnership

General partnership

Limited partnership

- Liabilities
 - General, unlimited
 - Limited: limited.

- management
 - General, can
 - Limited, can't

- limited life
- capital account for each partner.

SUBJECT: _____

DATE: / /

Note:
 * all partners in General partnership → are General partners.
 * limited partnership consists of one or more General partners and one or more limited partners.

Formation of partnership:

partners' capital {
 Cash
 transfer non cash asset.
 transfer assets and liabilities from sole proprietorship.

paying in cash:

journal entry:-

date	account	Dr	Cr
	Cash	*	
	partner-Capital		*

opening Bs

assets:		liabilities	
Cash	*	owner's equity:	
		Capital	*
	*		*

[2] transfer non cash assets:

journal entry:

	Date	account	Dr	Cr
(1) Fair value ^{market}		Asset (A)	xx	
(2) Book V = Cost - acc dep		Asset (B)	xx	
		partner A Capital		xx
		partner B Capital		xx

*Note: لو في Liab مرتبطه بال asset الي عندي يستقل ال Liab برضو ويسجل ال Capital الصافي بسيل منه ال Liab

* Net asset transferred = trans. assets - trans Liab

Share in capital $\overset{\text{net}}{=}$ asset $\rightarrow$ No problem

Share in capital $\overset{\text{net}}{>}$ asset $\rightarrow$ Cash $\uparrow$ recorded ((Dr))

Share in capital $\overset{\text{net}}{<}$ asset $\rightarrow$ Cash $\downarrow$ recorded ((Cr))

*Note: لو ال share in capital من متعدد بنعتبره بقيه ال Net asset بس

*Note: لو ال asset ده AR مني بسجل Fair value بسجل ال nominal^{Dr} و AFDA برضو cr
 $((\text{Nominal} - \text{m.v}))$ انا الي سجله مش سجل آخري الي جايه ال partner